50TH ANNIVERSARY

THE REFORMS ERA

THE GREAT OPENING

Structural reforms did more than just drag India's economy back from the brink. In a virtuous segue from Rajiv's prelude on telecom and IT, the Rao-Manmohan duo wrote the opening act of a new script

No single economic policy post-Independence had as foundational and as far-reaching an effect as the liberalisation process of 1991. As often happens with major evolutionary breaks, contingency had a greater role than prior design. In 1990, India was staring at a severe balance of payments (BoP) crisis, caused by unsustainable borrowing and high expenditure. Things came to a head during the short-lived Chandra Shekhar government. Now, it's mostly remembered for the one uninvited distinction it was fated to earn during its four-month tenure: having to mortgage India's gold as the nation ran out of foreign exchange reserves. For succour, India reached out to the International Monetary Fund (IMF). The script from thereon contained a few classic and globally well-recognised acts of expiation.

In June 1991, the Congress came back to power. Under P.V. Narasimha Rao, the new government set to work. As the man for the job, Rao picked the quiet and scholarly Dr Manmohan Singh. He was someone who had long inhabited the innards of the old system. He had been chief economic advisor under Indira Gandhi as far back as 1972, and then occupied a variety of senior positions in the economic bureaucracy through the 1970s-80s—secretary, Finance Ministry; governor, Reserve Bank of India; Planning Commission head. In short, he knew the darkness of the closed economy model intimately and knew what to do. He set about doing it without much ado. It was pure economics, with no political sugar-coating—Rao

THE 'LICENCE RAJ', WHERE A VORTEX OF HARD-TO-PROCURE LICENCES TIED UP ENTREPRENEURSHIP, WAS DISMANTLED PIECE BY PIECE



ENDING THE LICENCE RAJ Aug. 15, 1991

THE ECONOMY: SHOCK TREATMENT *Jul. 31, 1991*

"(From 'Shock Treatment') On June 21, Manmohan Singh had planned to have some close friends over for lunch. That morning, his wife rang them up and suggested postponing the lunch to the following day as some "sudden work" had come up. They agreed, and later when they sat down to watch the new government's swearing-in ceremony on TV, were amazed to see their friend being sworn in as finance minister. Once in office, Singh quickly showed his new work-style. Mere days after he took over, he called a meeting of the eight top bureaucrats in the country, the secretaries to the leading ministries. Quietly, he told them that while he valued their "unquestionable talent and integrity", anyone who felt he could not implement the government's proposed rapid-fire policies must let him know. Nobody demurred, and Singh finished with a simple, "I need your help."